

Fundamental Analysis → compare to mv to determine whether to buy or not

⊛ mispriced = trading opportunity

FA of Equities:

make use of < model
info not accounted
for yet by the market

STAGE 1: construct model showing future cf + earnings to be estimated

STAGE 2: use output from model to see if securities are over/under valued by the market

Expectations affecting demand for shares:

- company's future dividend payment
- future capital growth
- risks of business + uncertainties in estimates

→ Factors driving expectations on these:

- estimates of profits
- free cfs
- total enterprise value

share value reflects:

macroeconomic influences
industry-specific influences
firm-specific influences

Idea Generation:

- Global economy
- Domestic economy
- Industry
- Firm

Methods of valuing:

1. Discounted Dividend Model

$$\rightarrow \frac{D}{(r-g)}$$

2. Price Earnings Ratio (PER)

$$\frac{\text{Share Price}}{\text{Earnings / share}}$$

- ⊛ Risk
- ⊛ labour + other stakeholder rel.
- ⊛ legislation
- ⊛ cap structure + borrowings

(QUICK HER GM)

Factors affecting mp of shares:

- management ability + track record
- quality of products
- prospects for market growth
- sustainability + environmental impact of the business
- competition
- input costs
- retained profits
- history → projected production

(CLEF BDG P)

→ To form a view on these factors - investigate:

- financial accounts + accounting ratios
- Dividend + Earnings level
- Profit variability + growth
- Level of borrowing
- Level of liquidity
- Growth in asset value
- comparative figures of similar companies
- current + future environmental changes + potential regulatory responses to these

CHAPTER 11: FUNDAMENTAL ANALYSIS

Sources of Information:

PRIMARY: company's published accounts

OTHER:

- Financial press + other commercial info providers
- Trade press
- Relevant government + industry forums, websites or reports
- Public statements by the company
- exchange where securities are listed
- statutory info company has to provide
- visits to the company
- discussions with company management
- discussions with competitors
- stockbrokers + investment bankers' publications

Interest Cover ^{EBIT Margin} $\frac{\text{Profit before int + tax}}{\text{Annual int on debt}}$	Dividend Cover $\frac{\text{Earnings / share}}{\text{Dividends / share}}$	Dividend Yield $\frac{\text{Dividends / share}}{\text{Price of ordinary shares}}$	Capital Cover $\frac{\text{Total A - Current L - intangible A}}{\text{Balance sheet value of debt}}$
Current ratio $\frac{\text{Current A}}{\text{Current L}}$	Quick ratio $\frac{\text{Current A - inventory}}{\text{Current L}}$	NAV Per share $\frac{\text{ordinary shareholders fund - intangibles}}{\text{\# issued ordinary shares}}$	Return on Capital Employed $\frac{\text{Profit before int + tax}}{\text{Share capital + reserves + long-term debt}}$ OR $\frac{\text{Profit before tax}}{\text{Share capital + reserves}}$
Profit margin $\frac{\text{net profit before int + tax}}{\text{Revenue}}$	Gross Profit margin $\frac{\text{Gross Profit}}{\text{Revenue}}$	Operating profit margin $\frac{\text{Operating Profit}}{\text{Revenue}}$	

(FACED I(C))

Credit Analysis - Bond Investment

consider:

- likelihood of losing some or funding provided
- severity of potential loss
- if int rate = adequate compensation for risk of loss

(MEIO 8)

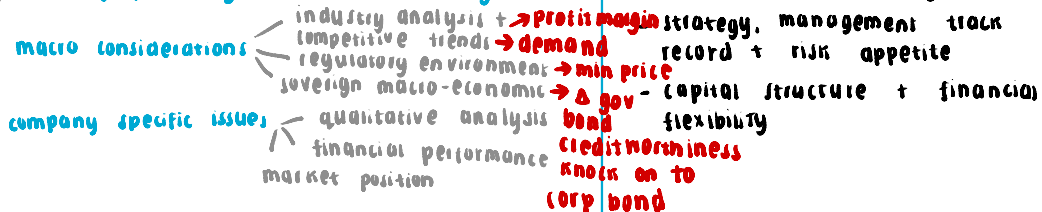
① Reasons for seeking funding:

- Organic growth
- acquisition
- investment in associated company
- capital expenditure
- dividend / share buy-back

② Source of funding repayment:

- CF / profit profile
- sale of asset / business
- refinancing

③ Risks jeopardising future debt servicing:



Rating opinions are based on

- financial strength
- operating performance
- market profile

⊗ Assets over AT LEAST 5 years

Assessed in terms of:

- operating leverage
- financial leverage
- asset leverage
- capital structure
- liquidity

$\frac{\text{sales} - \text{variable costs}}{\text{profit before int + tax}}$

$\frac{\text{int payments}}{\text{profit before int + tax}}$

$\frac{\text{debt}}{\text{debt} + \text{equity}}$ or $\frac{\text{debt}}{\text{equity}}$

→ exposure to invest + credit ratings
→ quality, div + diversification of assets

Examples of agencies:

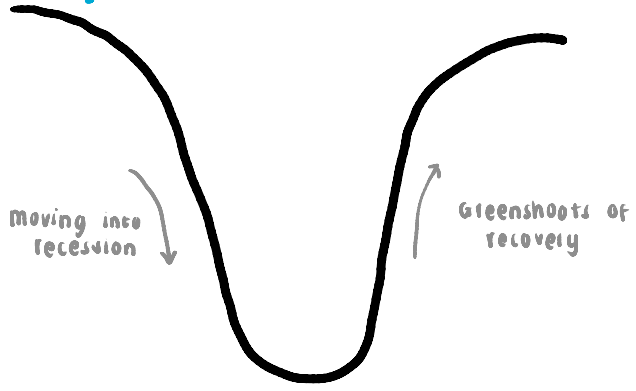
- Fitch rating
- Moody's investor services
- Standard + poor's

company's market profile:

- market risk
- competitive market position
- spread of risk
- event risk

The impact of the trade cycle:

⊕ Bouyant



⊗ Recession

cyclical company → construction company

- Fortune closely linked to state of the economy
- ∴ share price depends on $\begin{cases} \text{current state of economy} \\ \text{future change in economy} \end{cases}$

defensive company → food retailer

- Fortune immune to state of economy
- $\begin{cases} \text{less volatility than market} \\ \text{lower, stable returns} \end{cases}$ (p<1)

① Economy = Bouyant, no signs of rapid growth / recession

→ profits = relatively stable

→ C to = similarly rated

② Move into recession

→ PE ratio of C ↓

→ PE ratio of D = stable or even ↑ slightly

③ At recession; 'bump along at the bottom'

→ PE ratio of C ↑ from low point

• earnings have fallen

→ D still more highly rated

④ Greenshoots of recovery

→ PE of C ↑ as prices ↑

• anticipate future earnings growth

→ PE of D likely < C

→ as growth continues, PE of C ↓

• earnings catch up with price

⑤ sudden changes to market prices

→ sudden movements in price of individual shares

→ reflect new info

• correct views on future profitability